CLOSING STATEMENT

Willow Market Lofts | Charlotte, NC

Property	Willow Market Lofts
Settlement Date	November 15, 2022
Buyer	Sunbelt Ridge Acquisitions
Seller	Pemberton Real Estate Fund III
Sale Price	$85,540,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$85,540,000			
Earnest money deposit		$789,334	$789,334	
Real estate tax proration	$346,325			$346,325
Rent proration			$184,904	
Security deposits assumed	$475,798	$475,798		
Prepaid rents			$690,375	$690,375
Owner's title policy premium	$58,192			
Lender's title policy premium		$603,026	$603,026	
Escrow fee	$785,579			$785,579
Recording fees			$293,256	
Transfer tax	$770,195	$770,195		
Survey			$662,618	$662,618
Legal fees - Buyer	$274,466			
Legal fees - Seller		$529,095	$529,095	
Broker commission	$92,806			$92,806
Loan origination fee			$600,676	
Lender legal	$131,594	$131,594		
Appraisal fee			$360,442	$360,442
Environmental report	$313,639			
Property condition report		$516,338	$516,338	
Tax escrow deposit	$807,739			$807,739
Insurance escrow deposit			$531,712	
Replacement reserve deposit	$341,547	$341,547		
Utility deposits			$222,381	$222,381

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$85,540,000			
Legal fees - Seller		$98,112	$98,112	
Broker commission	$448,977			$448,977
Loan origination fee			$122,445	
Lender legal	$682,412	$682,412		
Appraisal fee			$208,633	$208,633
Environmental report	$717,040			
Property condition report		$197,365	$197,365	
Tax escrow deposit	$803,971			$803,971
Insurance escrow deposit			$266,031	
Replacement reserve deposit	$61,006	$61,006		
Utility deposits			$39,352	$39,352
Assumed vendor contracts credit	$573,770			
Tenant improvement credit		$621,788	$621,788	
Courier / wire fees	$316,431			$316,431
Municipal certificates			$519,782	
Purchase price	$265,734	$265,734		
Earnest money deposit			$427,548	$427,548
Real estate tax proration	$267,193			
Rent proration		$548,159	$548,159	
Security deposits assumed	$377,915			$377,915
Prepaid rents			$380,259	
Owner's title policy premium	$102,269	$102,269		
Lender's title policy premium			$720,104	$720,104
Escrow fee	$790,470			
Recording fees		$486,947	$486,947	
Transfer tax	$816,176			$816,176
Survey			$737,316	

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Financial Analysis

Operating expenses totaled $215,000 or approximately 9.00 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $413,000, representing a 13.9% increase over the prior year. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Debt service coverage ratio was 7.43x on a trailing basis against a covenant minimum of 1.20x.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The going-in capitalization rate of 6.32% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $122,000, representing a 8.9% increase over the prior year.

Valuation Discussion

Operating expenses totaled $176,000 or approximately 39.54 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Effective gross income for the trailing period was $50,000, representing a 5.9% increase over the prior year.

The going-in capitalization rate of 7.42% reflects the in-place income and the stabilized occupancy assumption. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Operating expenses totaled $168,000 or approximately 46.41 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $401,000, representing a 4.9% increase over the prior year.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.36x on a trailing basis against a covenant minimum of 1.20x. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The going-in capitalization rate of 5.43% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $360,000 or approximately 33.74 per square foot, with real estate taxes representing the largest line item.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Net operating income is projected to grow at a compound annual rate of 7.1% over the hold period. The property is walkable to transit, with 2 structured parking spaces shared between uses. The going-in capitalization rate of 6.56% reflects the in-place income and the stabilized occupancy assumption.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$85,540,000			
Tenant improvement credit		$38,887	$38,887	
Courier / wire fees	$720,296			$720,296
Municipal certificates			$596,583	
Purchase price	$824,439	$824,439		
Earnest money deposit			$324,297	$324,297
Real estate tax proration	$411,886			
Rent proration		$80,745	$80,745	
Security deposits assumed	$382,195			$382,195
Prepaid rents			$321,533	
Owner's title policy premium	$159,428	$159,428		
Lender's title policy premium			$182,065	$182,065
Escrow fee	$569,105			
Recording fees		$647,914	$647,914	
Transfer tax	$91,269			$91,269
Survey			$542,883	
Legal fees - Buyer	$491,654	$491,654		
Legal fees - Seller			$665,472	$665,472
Broker commission	$839,564			
Loan origination fee		$556,370	$556,370	
Lender legal	$614,667			$614,667
Appraisal fee			$93,944	
Environmental report	$806,955	$806,955		
Property condition report			$458,706	$458,706
Tax escrow deposit	$66,391			
Insurance escrow deposit		$439,205	$439,205	
Replacement reserve deposit	$671,626			$671,626
Utility deposits			$167,160	

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Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.62x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $254,000 or approximately 9.73 per square foot, with real estate taxes representing the largest line item. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Effective gross income for the trailing period was $58,000, representing a 5.4% increase over the prior year. Debt service coverage ratio was 6.73x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.43% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Valuation Discussion

Operating expenses totaled $411,000 or approximately 17.34 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 5.7% of collected revenue and are included in operating expenses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Effective gross income for the trailing period was $399,000, representing a 4.6% increase over the prior year.

The going-in capitalization rate of 5.34% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $68,000 or approximately 44.03 per square foot, with real estate taxes representing the largest line item. The property is walkable to transit, with 24 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Financial Analysis

Effective gross income for the trailing period was $354,000, representing a 10.5% increase over the prior year. The project combines ground-floor retail and restaurant space with upper-level residential and office components. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.6% of collected revenue and are included in operating expenses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

The property is walkable to transit, with 13 structured parking spaces shared between uses. Effective gross income for the trailing period was $132,000, representing a 4.5% increase over the prior year. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The going-in capitalization rate of 6.74% reflects the in-place income and the stabilized occupancy assumption.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$85,540,000			
Recording fees		$492,536	$492,536	
Transfer tax	$392,791			$392,791
Survey			$540,457	
Legal fees - Buyer	$110,428	$110,428		
Legal fees - Seller			$174,806	$174,806
Broker commission	$363,345			
Loan origination fee		$341,955	$341,955	
Lender legal	$826,809			$826,809
Appraisal fee			$464,116	
Environmental report	$482,399	$482,399		
Property condition report			$567,411	$567,411
Tax escrow deposit	$747,374			
Insurance escrow deposit		$467,970	$467,970	
Replacement reserve deposit	$651,630			$651,630
Utility deposits			$25,832	
Assumed vendor contracts credit	$115,652	$115,652		
Tenant improvement credit			$259,012	$259,012
Courier / wire fees	$580,665			
Municipal certificates		$587,809	$587,809	
Purchase price	$663,329			$663,329
Earnest money deposit			$68,449	
Real estate tax proration	$311,478	$311,478		
Rent proration			$707,824	$707,824
Security deposits assumed	$733,093			
Prepaid rents		$550,423	$550,423	
Owner's title policy premium	$444,592			$444,592
Lender's title policy premium			$687,060	

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Operating Performance

Effective gross income for the trailing period was $438,000, representing a 10.3% increase over the prior year. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Operating expenses totaled $316,000 or approximately 47.91 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 5.2% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 8.0% over the hold period. The property is walkable to transit, with 20 structured parking spaces shared between uses.

Operating expenses totaled $262,000 or approximately 25.35 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 7.7% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is walkable to transit, with 4 structured parking spaces shared between uses. Debt service coverage ratio was 5.45x on a trailing basis against a covenant minimum of 1.20x. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Operating Performance

Percentage rent and CAM reimbursements are tracked separately for the commercial component. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Net operating income is projected to grow at a compound annual rate of 8.0% over the hold period. Effective gross income for the trailing period was $129,000, representing a 9.6% increase over the prior year.

Debt service coverage ratio was 7.22x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. Effective gross income for the trailing period was $452,000, representing a 4.2% increase over the prior year. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.20x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.27% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $469,000, representing a 5.2% increase over the prior year. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Debt service coverage ratio was 7.24x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $9,000, representing a 10.9% increase over the prior year. The going-in capitalization rate of 7.19% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is walkable to transit, with 38 structured parking spaces shared between uses.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Tax escrow deposit	$85,540,000			
Insurance escrow deposit		$790,590	$790,590	
Replacement reserve deposit	$833,720			$833,720
Utility deposits			$695,892	
Assumed vendor contracts credit	$646,090	$646,090		
Tenant improvement credit			$468,437	$468,437
Courier / wire fees	$789,745			
Municipal certificates		$418,172	$418,172	
Purchase price	$130,576			$130,576
Earnest money deposit			$145,141	
Real estate tax proration	$777,807	$777,807		
Rent proration			$705,343	$705,343
Security deposits assumed	$740,031			
Prepaid rents		$155,940	$155,940	
Owner's title policy premium	$422,313			$422,313
Lender's title policy premium			$355,892	
Escrow fee	$249,002	$249,002		
Recording fees			$195,143	$195,143
Transfer tax	$553,572			
Survey		$323,390	$323,390	
Legal fees - Buyer	$409,571			$409,571
Legal fees - Seller			$22,703	
Broker commission	$772,045	$772,045		
Loan origination fee			$523,306	$523,306
Lender legal	$80,104			
Appraisal fee		$532,868	$532,868	
Environmental report	$330,729			$330,729
Property condition report			$226,530	

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Valuation Discussion

Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Operating expenses totaled $448,000 or approximately 32.17 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $75,000, representing a 6.6% increase over the prior year. The going-in capitalization rate of 6.56% reflects the in-place income and the stabilized occupancy assumption.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. The property is walkable to transit, with 29 structured parking spaces shared between uses. The going-in capitalization rate of 6.16% reflects the in-place income and the stabilized occupancy assumption. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Operating Performance

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Effective gross income for the trailing period was $261,000, representing a 11.8% increase over the prior year.

Debt service coverage ratio was 6.01x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.63% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.2% of collected revenue and are included in operating expenses. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Operating expenses totaled $444,000 or approximately 8.41 per square foot, with real estate taxes representing the largest line item. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Valuation Discussion

The property is walkable to transit, with 16 structured parking spaces shared between uses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Effective gross income for the trailing period was $246,000, representing a 4.6% increase over the prior year. Operating expenses totaled $416,000 or approximately 19.44 per square foot, with real estate taxes representing the largest line item. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Debt service coverage ratio was 5.15x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.55% reflects the in-place income and the stabilized occupancy assumption.

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

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Willow Market Lofts Owner LLC

By: Emily Alvarez Title: President Date: 11/15/2022

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Summit Realty

By: Aisha Thompson Title: Managing Member Date: 11/15/2022

Exhibit A - Property

Willow Market Lofts, 1474 Pioneer Parkway, Charlotte, NC 73649. Parcel containing approximately 25.60 acres, together with all improvements thereon.

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